Higher National Diploma in Accountancy

First Year - First Semester Examination - 2022

DA1113 – Financial Accounting (I)

Instructions for Candidates
Answer five (05) questions including 1 and 2

Time: 3 hours
No of Pages: 09
No of Questions: 06

Question No- 01

1. Identify two (02) differences between "Financial Accounting" and "Management Accounting". (02 Marks)
2. Explain the accounting treatment with regard to the recognition of revenue arising from interest, dividend and royalty. (03 Marks)
3. State two enhancing characteristics and fundamental characteristics of financial information. (02 Marks)
4. Explain why the following items should be adjusted in the financial statements prepared for a particular period.

   (a) Accrued expenses (b) Prepaid expenses (c) Inventory (03 Marks)
5. State the prime entry book and the source document used of following each transaction.

Transaction	prime entry book	Source document
a. Provision for doubtful debts	.....	.....
b. Return outward stock purchased on credit	.....	.....
c. Cash paid for creditors	.....	.....
d. Credit sales of PPE	.....	.....

(04 Marks)

6. Identify the accounting concept that is most applicable to each of the following situations.
   a) Disclosure of assets in their cost value without considering their net realizable value.
   b) The value of a stapler machine purchased recorded as an expense in the income statement.
   c) The expenses which do not create any economic benefits are recognized as the expenses for the year.

d) House rent of owner has not been recognized as an expense. (02 Marks)

7. Invoiced price of a trade stock purchased by a Company was Rs. 230,000 with VAT (15%). If it is a VAT registered company, what is the journal entries used to record this transaction?

(02 Marks)

8. State the registration requirement of a partnership under the Prevention of Frauds Ordinance. (02 Marks)

(Total 20 Marks)

Question No- 02

Karan, Paran and Tharan are partner in a partnership. Their profit sharing is 2:2:1. And their financial year ending 31st March 2023.

Following information have been extracted from their partnership agreement.

a. Partner are entitled to get monthly Salary for Karan and Tharan are Rs. 5,000 and 3,000 respectively.
b. Partners are entitled to receive 10% interest per annum oncapital balances at the beginning of the year.
c. Interest on Drawing 12% per annum.
d. Partners are entitled toLoan interest 12% per annum

The trial balance of the Karan, Paran and Tharan partnership as at 31st March 2023 is given below.

	Dr. (Rs.)	Cr. (Rs.)
Capital A/C balance 01.04.2022 - Karan		1,000,000
-Paran		650,000
-Tharan		450,000
Current A/C balance 01.04.2022 - Karan		200,000
-Paran		100,000
-Tharan	75,000	
Drawings - Karan	60,000	
-Paran	42,000	
-Tharan	90,000	
Purchase/Sales	3,700,000	7,110,000
Sales return	25,000	
Debtors /Creditors	281,300	172,500
Land and Building at cost (land at cost 900,000)	1,750,000	
Delivery Vehicles - cost	1,200,000	
Office equipment - cost	550,000	
Provision for depreciation as at 1/4/2022 – Building		425,000
- Delivery Vehicles		375,000
-Office equipment		252,000
Investment made on 1/4/2022	300,000	
Interest income on Investment (1/4/2022-31/12/2022)		27,000

Inventory as at 01. 04.2022	225,000	
Discounts Allowed/Received	26,200	17,500
Salaries and wages	775,000	
Carriage inwards	25,000	
Office expenses	560,000	
Electricity	110,000	
Rent	450,000	
selling and distribution expenses	224,000	
Bad debt	20,000	
Provision for Doubtful debts as at 1/4/2022		26,300
Motor Vehicle Disposal Account		325,000
Cash at Bank	891,800	
loan from Tharan		250,000
	11,380,300	11,380,300

Rent
450
180
270000

The following additional information is also available.

1) Cost of the closing inventory of the business is valued at Rs.500,000/- and the net realizable value of these stocks was estimated as Rs.450, 000/-.

2) The business commenced in a building owned by a Tharan. The annual rent of Rs.240,000 to payable to Tharan in this respect. However, the business was shifted to a new premises on 1/10/2022 for an annual rent of Rs.360, 000 and the full amount was paid on the same day.

3) Rs. 7,500/- bad debts should be written off and 10% general provision for the doubtful debts should be provided for the balance of debtors.

4) Electricity paid in advance and accrued office expenses are Rs.23,000 and Rs.14,000 respectively.

24000.

5) Staff salaries include Rs.15,000 and Rs.9,000 paid to Karan and Tharan respectively.

6) The land of the business was revalued for the first time on 31.03.2020 for Rs 900 000. The land was revalued on 31.03.2023 for Rs.1, 150,000 for the second time and it has not yet been accounted.

7) One of the company's vehicles, purchased on 01st January 2021 for Rs.400, 000/- was sold on 31st December 2022 for Rs.325, 000/- and the sale proceed has been credited to Motor Vehicle Disposal Account. Other than this, no entries were recorded in the books of accounts regarding the disposal of motor vehicle.

8) Non-current assets should be depreciated using the following methods:

Building - 15% on cost

Delivery Vehicles - 12% on Straight line method

Office equipment - 10% reducing balance method

9) The following goods drawings made by the partners have not been accounted.Karan – Rs.5,000/- per month at the beginning of each month, Paran– Rs.3,500/- per month at the end of each month and Tharan – Rs.7,500/- per month at the middle of each month

You are required to:

(a) Trading, profit and loss appropriation account for the year ended 31st March 2023.

(b) Partners' capital account and the current account.

(c) Statement of financial position as at 31st March 2023.(Total 26 Marks)

Question No- 03

1) State two differences between receipts and payments account and the income and expenditure account of the not for profit oriented business. (02 Marks)

2) "Winners" youth society was established several years ago to encourage the society in sports activities. Currently the society has 480 members. Due to the shifting of office some of the documents were misplaced. However, the following information was available for the year ended 31st December 2023.

Following assets and liabilities were identified as at 31st December:

	2022/12/31	2023/12/31
Sports equipment	480,000	540,000
Inventories at Bar	420,000	300,000
Rent paid in advance for the Bar	72,000	36,000
Cash and bank balances	240,000	144,000
Trade creditors - Bar	240,000	336,000
Accrued general expenses - Bar	60,000	84,000
Members subscription receivables	96,000	60,000
Members subscription received in advance	(48,000)	36,000
Bar equipment	-	36,000
Bank deposit at 15 %	720,000	720,000
Interest income receivable		36,000

Following information was extracted from the bar trading account for the year ended 31st December 2023.

	Amount Rs.
Turnover / (Sales)	1,500,000
Purchase - Cash purchases	204,000
- Credit purchases	600,000
Bar Rent	504,000
General Expenses	216,000
Damaged stock	24,000

Depreciation of Bar equipment	60,000
Note; sales and expenses were effected on cash basis.	

The following information was extracted from income and expenditure account for the year ended 31st December 2023.

	Amount Rs.
Members subscription	480,000
Sport festival day income	204,000
Interest income	108,000
Depreciation of sport equipment	120,000
Newspaper expenses	24,000
Maintenance expenses of play grounds	144,000
Sport festival day expenses	240,000
Note; all the expenses were effected on cash basis.	

Required:

1. Receipt and payment account and member's subscription account for the year ended 31st December 2023.
2. Income and Expenditure Account for "Winners" youth society for the year ended 31st December 2023.
3. Statement of Financial Position of "Winners" youth society as at 31st March 2023.

(16 Marks)

(Total 18 Marks).

Question No- 04

1. An extract of the petty cash transactions of Malini Traders during the first two weeks of January 2023 is given below. Malini Traders maintains a petty cash float of Rs.12,000/-.

January	Description
1st	Received petty cash re-imbursement of Rs.8,500/- from the main cashier.
2nd	Expenses for new year celebration - Voucher No. 1 - Rs.2,400/-.
4th	Purchased stationery items - Voucher No. 2 - Rs.860/-.
6th	Payment for stamps and envelops - Voucher No. 3 - Rs.350/-.
7th	Donation to a charity - Voucher No. 4 - Rs.200/-.
10th	Payment to Saman for cleaning - Voucher No. 5 - Rs.800/-.
12th	Payment of Bus fare - Voucher No. 6 - Rs.150/-.

You are required to,

Record the above transactions in the petty cash book of Malini Traders.

(Note: Classify petty cash expenses under: stationery expenses, traveling expenses, postage, cleaning expenses and other expenses.)

(06 Marks)

2. 01.04.2023 Aruna deposited Rs. 600,000/- in the business bank account to commence his trading business. Given below are the transactions that took place during the month of April:

Transaction Date	Description	Receipt No	Voucher No	Cheque No	Amount Rs.
01 April	Cash purchases		01	900500	150,000
02 April	Purchase of furniture & fittings		02	900501	90,000
03 April	Cash Sales	02		823631	300,000
04 April	Purchases from Manal				100,000
05 April	Sales on credit to Akram				150,000
06 April	Payment to petty cashier		03	900502	20,000
07 April	Paid transport for goods inward		04	900503	15,000
09 April	Credit purchases from Gowri				80,000
10 April	Credit sales to Chamal				90,000
11 April	Loan from Peoples' Bank	03			300,000
13 April	Paid Manal, discount received Rs. 5,000/-		05	900504	95,000
15 April	Received payment from Akram, Discount allowed 10%	04		831814	135,000
17 April	Cash sales	05		cash	350,000
18 April	Paid building rent		06	900505	40,000
18 April	Cash drawings		07	Cash	50,000
21 April	Paid Gowri, discount received 10%		08	900506	72,000
23 April	Receipts from Chamal, discount allowed 10%	06		Cash	81,000
25 April	Payment of bank loan installment (interest was Rs.2,000)		09	900507	15,000
26 April	Drawings by Aruna		10	900508	5,000
29 April	Investing additional capital	07		Cash	6,000

Required:

1. Prepare the Cash Receipts and Cash payments Journal for Aruna's business for the month of April 2023.
2. Use the information from the cash receipt Journal and Cash payments Journal to prepare the cash control account. (12 Marks)

Question No- 05

The Trial Balance of "XYZ" Associates as at 31st March 2023 did not agree. The difference of Rs.62, 000was credited to the Suspense Account. Then final accounts were prepared and net profit for the period was ascertained as Rs.77, 450/-. After investigating, following errors were identified:

1) Rs. 6,500 had been received as discount when settling cash to suppliers. This discount was erroneously recorded in the credit side of the bank column as Rs. 8,500.

2) As at 31st March 2023 prepayment of electricity bill was Rs. 9,000. When passing the adjusting entry, only entry passed was debiting the electricity prepayment account.

3) Rent Income for the year amounting to Rs. 23,000 had been erroneously recorded in the debit side of the trial balance as rent of Rs. 32,000.

4) The "XYZ" Associates has entered into a purchase agreement for the next year for the value of Rs. 350,000 and had paid an advance of Rs. 50,000. When recording this transaction Rs. 350,000 had been debited to purchase account and Rs. 50,000 and Rs. 300,000 had been credited to cash book and creditors account respectively.

5) Credit sales worth Rs. 12,850 had been recorded twice in the ledger accounts.

6) Total of debit and credit discount columns of the cash book had been set off against each other and taken the net amount as debit balance of Rs 25,000. This had been transferred to the creditors account. The total of the discount column in the payment side of the cash book is Rs. 82,000.

7) Direct bank deposit by a customer amounting to Rs.123,000/- has been treated as an interest
Income.

8) Capital repayment of Rs.30, 000/- of a bank loan, has been erroneously debited to the loan interest expense account, though it has been correctly recorded in the cash book.

You are required to:

a) Prepare Journal Entries to rectify the above errors. (10 marks)

b) Prepare Suspense Account (04 Marks)

c) Calculate adjusted Profit (Loss) for the year ended 31st March 2023 of XYZ" Associates. (04 marks)

Question No- 06

1. State the two (02) recommended cost formula as per LKAS 02 - Inventories. (02 Marks)
2. Books of accounts of Solomon's business for the year ended 31st March 2023 were destroyed by a fire on 3 April 2023. However, the management could collect the following information.

   1) Summarized statement of financial position as at 31st March 2022.

	Amount (Rs.)
Property, plant and equipment (net book value)	3,100,000
Inventory	680,000

Trade receivables	540,000
Prepayments – warehouse rent	20,000
Cash at bank	360,000
	4,700,000
Proprietor's capital	4,322,000
Trade payables	372,000
Accrued expenses - electricity	3,400
-Telephone	2,600
	4,700,000

2) Summarizedbank account for the year ended 31st March 2023.

	Rs.		Rs.
Balance as at 1st April 2022	360,000	Cash purchases	860,000
Cash sales	940,000	Payments to suppliers	3,240,000
Receipts from credit customers	4,640,000	Warehouse rent	200,000
		Telephone	30,000
		Electricity	38,400
		Insurance	12,000
		Salaries	483,000
		Other expenses	180,000
		Purchase of a computer	250,000
		Drawings by Solomon	200,000
		Balance as at 31st March 2023	446,600
	5,940,000		5,940,000

3) Credit purchases (trading stock) made during the year amounted to Rs. 3,450,000.
4) The inventory value as at 31st March 2023 was Rs. 840,000.
5) Bad debts written off during the year amounted to Rs. 120,000.
6) The total trade receivables balance as at 31st March 2023 was Rs. 680,000.
7) Warehouse rent is payable at Rs. 20,000 per month. Accrued electricity and the prepaid telephone bill as at 31st March 2023 were Rs. 2,000 and Rs. 2,400 respectively.
8) Annual depreciation charge in relation to property, plant and equipment other than the computer purchased during the year is Rs. 420,000. The computer was purchased on 1 April 2022 and is depreciated at 20% per annum.
9) Rs. 320,000 received from a customer, being the settlement of an outstanding bill, was erroneously treated as cash sales.

Required:

(a) Prepare the statement of profit or loss of the business for the year ended 31st March 2023.

(04 marks)

(b) Prepare the statement of financial position as at 31st March 2023.

3. Rashmi Ltd. is engaged in manufacturing of Toys. The following information is given for its raw material X for the month of February 2023:

01st February - Opening Stock Balance 800 units @ Rs.10.75.

05th February - Purchased 120 units @ Rs.12/-.

12th February - Issued 200 units.

17th February - Issued 150 units.

22nd February - Purchased 300 units at Rs.15/-.

28th February - Issued 200 units.

You are required to:

Prepare the Stores Ledger for the raw material X under Weighted Average Cost method for the month of February 2023. (06 Marks)